8.12 Nationalisation of Banks

After Independence, the Government of India adopted planned economic development. For this purpose, Five Year Plans came into existence since 1951. The main objective of the economic planning aimed at social welfare. Before Independence commercial banks were in the private sector. These commercial banks failed in helping the Government to achieve social objectives of planning. Therefore, the government decided to nationalize 14 major commercial banks on 19 July 1969. In 1980, again the government took over another 6 commercial banks.

Objectives of Nationalisation

The Government of India nationalized the commercial banks to achieve the following objectives.

1. The main objective of nationalisation was to attain social welfare. Sectors such as agriculture, small and village industries were in need of funds for their expansion and further economic development.
2. Nationalisation of banks helped to curb private monopolies in order to ensure a smooth supply of credit to socially desirable sections.
3. In India, nearly 70% of population lived in rural areas. Therefore it was needed to encourage the banking habit among the rural population.

Nationalization

1969 14 banks with deposits above ₹. 50 crores were Nationalized.
1980 6 banks with deposits above ₹. 200 crores were Nationalized

19 July 1969
1. Allahabad Bank
2. Bank of Baroda
3. Bank of Maharashtra
4. Canara Bank
5. Central Bank of India
6. Dena Bank
7. Indian Bank
8. Indian Overseas Bank
9. Punjab National Bank
10. Syndicate Bank
11. Union Bank
12. United Bank of India
13. UCO Bank
14. Bank of India

15 April 1980
1. Andhra Bank
2. Corporation Bank
3. New Bank of India
4. Oriental Bank of Commerce
5. Punjab & Sindh Bank
6. Vijaya Bank



Merger of Banks

1. Oriental Bank of Commerce and United Bank of India are merged with Punjab National Bank
2. Syndicate Bank is merged with Canara Bank
3. Andhra Bank and Corporation Bank are merged with Union Bank of India
4. Allahabad Bank is merged with Indian Bank

Chapter-08.indd 179 1/2/2023 11:52:20 AM